

Customer Care Remedy & Goodwill Policy

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1. Purpose and scope

This policy governs every financial or material remedy offered to a Meridian Roasters customer, across both the direct-to-consumer and wholesale channels. It defines who may authorise what, under which conditions, and to what value.

It applies to:

- Goodwill credits and account credits
- Full and partial refunds
- Replacement product despatched at no charge
- Subscription extensions and free cycles
- Wholesale credit notes and invoice adjustments
- Relationship recovery packages under §7.4

It does not govern statutory refund obligations, which are handled under MR-LEG-POL-002 and always take precedence over anything written here. Where a customer has a statutory right to a remedy, that right is honoured in full regardless of the caps in this document, and the difference is booked to the statutory remedy cost centre rather than to goodwill.

2. Principles

Four principles govern every decision made under this policy.

Proportionality. The remedy should be proportionate to the harm, not to the volume of the complaint. A calm customer who has suffered a genuine product failure is owed more than a loud customer who has suffered an inconvenience.

Attribution honesty. The remedy band depends on who caused the problem. Where the fault lies inside Meridian, the customer should not be worse off than if the fault had lain with a carrier. §7.3 exists because that was not always true under v3.1.

Single touch. A customer should receive one remedy decision, not an escalating sequence of small offers. Agents are expected to determine the correct remedy once and offer it in full. Incremental bidding damages trust more than a slightly low first offer.

Documented rationale. Every remedy above the Tier 1 threshold requires a written rationale recorded against the case. "Customer was unhappy" is not a rationale. The rationale must name the fault, the attribution and the clause applied.

3. Customer tiers

3.1 Direct-to-consumer loyalty tiers

Tier	Qualification	Notes
Bronze	Default on account creation	Includes all trial and one-off purchasers
Silver	Six completed orders, or an active subscription running twelve weeks	Tier is evaluated nightly
Gold	Eighteen completed orders, or an active subscription running fifty-two weeks, or trailing twelve-month spend above USD 600	Tier is sticky for ninety days after qualification lapses

Tier is a property of the customer record and must be read from the customer profile at the time of the decision. It must not be inferred from order volume in the conversation, because sticky-tier customers will look under-qualified.

3.2 Wholesale account tiers

Tier	Qualification	Notes
Trial	First ninety days from onboarding	No standing remedy authority; every case goes to the account manager
Standard	Post-trial, annual contract value below USD 40,000	
Flagship	Annual contract value at or above USD 40,000, or designated by the Commercial Director irrespective of value	Designation is reviewed annually and may be held for strategic reasons

Flagship designation is not purely numerical. Accounts may be designated flagship because they are reference customers, because they occupy a strategic city, or because they influence a wider buying group. The designation is recorded on the account record and is authoritative.

4. The standard remedy ladder

Remedies escalate through four steps. An agent should identify the correct step and offer it directly rather than climbing the ladder in conversation.

Step 1 — Acknowledgement and explanation. No financial value. Appropriate where the customer experienced a minor delay within the tolerance published on the order

confirmation, or where the complaint concerns a matter of taste preference rather than product defect.

Step 2 — Replacement. Replacement product despatched at no charge, on the next available despatch. Appropriate for a single defective bag, a wrong item shipped, or a grind error. Replacement is preferred over credit wherever the customer's underlying want is coffee rather than money.

Step 3 — Partial credit. A credit against the order value, typically between twenty-five and fifty per cent. Appropriate where the customer received usable product that fell short of specification, or where a delay materially reduced the value of the product without destroying it.

Step 4 — Full refund plus goodwill. Full order value returned, plus a goodwill credit toward a future order. Appropriate where the product was unusable, where a service failure was repeated, or where the attribution sits squarely inside Meridian.

5. Goodwill credit caps

The following caps apply to the goodwill component only. They are the maximum a remedy may reach **before** any uplift under §7 is applied.

5.1 Direct-to-consumer

Tier	Standard cap (USD)
Bronze	25
Silver	50
Gold	120

5.2 Wholesale

Tier	Standard cap (USD)
Trial	100
Standard	250
Flagship	500

5.3 Reading the caps correctly

The cap is a ceiling, not a target. Most cases resolve well below it. An agent that offers the cap by default is not applying judgement and will be picked up in case review.

The cap applies per incident, not per contact. A customer who opens three tickets about the same defective delivery is one incident. A customer who has a delivery failure in January and a quality failure in March is two incidents and two caps.

6. Approval matrix

Remedy value (USD)	Authority required
Up to 150	Customer care agent, acting alone
151 to 500	Customer care supervisor
501 to 1,250	Director of Customer Experience, or CX supervisor with written Finance concurrence
Above 1,250	Director of Customer Experience and Finance Director, jointly

The 150 threshold is absolute. No role, system, automation or agent may issue a remedy above USD 150 without a named human approver recorded against the case. This applies irrespective of customer tier, irrespective of how obviously justified the remedy is, and irrespective of whether the value sits inside the tier cap. A gold-tier customer owed the full 120 cap is within an agent's authority; the same customer owed 160 under an uplift is not.

Automated systems that propose remedies must record them in a proposed state and must not represent a proposal to the customer as a decision.

7. Conditions and exceptions

This section did not exist in v3.1 and is the substantive change in v4.0. Under v3.1, remedy value was determined solely by customer tier. Post-incident review through 2024 and 2025 found this produced perverse outcomes: a customer harmed by a Meridian production failure received the same ceiling as a customer inconvenienced by a carrier, despite the two cases differing entirely in attribution and in relationship damage.

7.1 Attribution categories

Every remedy decision must first assign one of four attribution categories.

Customer-attributable. Incorrect address, refused delivery, storage or brewing error, change of mind. No remedy beyond Step 1 is owed, although discretionary Step 2 remains available for relationship reasons.

Third-party-attributable. Carrier delay, carrier damage, weather event, port closure, public-holiday cut-off, or any failure originating outside Meridian's control. Standard caps in §5 apply unchanged.

Company-attributable. Any failure originating inside Meridian, including production error, quality-control failure, blend specification deviation, mis-pick, roasting fault, inventory error, or a procurement failure that propagated into the product. Uplift under §7.3 applies.

Mixed or undetermined. Where two independent causes affected the same customer, or where attribution cannot be established on the evidence available. Treated as company-attributable for remedy purposes, on the principle that the customer should not bear the cost of our uncertainty. The case must be flagged for root-cause review.

7.2 Attribution is evidence-based

Attribution must be supported by evidence from the operational record, not inferred from the customer's description. A customer reporting that coffee "tasted stale" has not established attribution; the batch record, the lot record and the quality note have.

Where a complaint concerns product quality, attribution requires tracing the affected order line back to its roast batch and green lot. Where a complaint concerns delivery, attribution requires the shipment exception record and, where a weather or holiday cause is claimed, external corroboration.

7.3 Company-attributable root cause uplift

Where attribution is company-attributable or mixed, the applicable goodwill cap rises by one band:

Channel	Standard band	Uplifted band
D2C bronze	25	50
D2C silver	50	120
D2C gold	120	250
Wholesale trial	100	250
Wholesale standard	250	500
Wholesale flagship	500	1,250

The uplift does not change the approval matrix in §6. A gold customer uplifted to 250 still requires supervisor approval above 150.

7.4 Relationship Recovery Allowance

For flagship wholesale accounts where **all** of the following hold:

1. attribution is company-attributable or mixed, and

2. the account has experienced two or more separate incidents within a rolling sixty-day window, and
3. the account has expressed, in writing or on a recorded call, an intention to review, reduce or terminate the relationship,

a Relationship Recovery Allowance of up to USD 1,250 may be proposed. This is inclusive of, not additional to, the uplifted cap under §7.3.

A Relationship Recovery Allowance requires joint approval by the Director of Customer Experience and the Finance Director under §6, and must be accompanied by a written recovery plan naming the root cause, the corrective action and the named relationship owner. A payment without a plan is a discount, not a recovery, and is not authorised under this policy.

7.5 Repeat-incident multiplier

Where the same customer experiences the same failure mode three or more times within ninety days, the case must be escalated to the Director of Customer Experience irrespective of value, and the underlying failure raised as a systemic issue. Repeat failures are a process defect, and remedying them individually conceals the defect.

8. Cross-currency handling

Wholesale accounts are invoiced in their contracted currency. Caps in this document are expressed in USD.

Conversion must be performed **before** comparison against a cap and before any aggregation across accounts. A CAD amount compared directly against a USD cap will systematically over-issue. Use the rate published for the incident date, not the rate on the day the decision is taken, and record the rate used against the case.

Aggregate exposure reporting must convert every component to USD before summing. Summing mixed-currency values and converting the total is not permitted and has produced material misstatement in the past.

9. Communication standards

Remedy communications must:

- name the cause plainly, in the customer's language rather than internal terminology, without disclosing supplier names, lot identifiers, batch numbers or commercial terms
- state what is being offered and what happens next, with a date
- avoid the passive voice when describing our own failures
- avoid offering an explanation the evidence does not support, including plausible-sounding causes that have not been established

Where two independent causes affected the same customer, the communication must address both. Merging two causes into a single tidier explanation is a misrepresentation,

and where one of the merged causes is company-attributable it also produces the wrong remedy band.

10. Precedent log

Cases recorded for consistency. Precedent is persuasive, not binding.

PR-2024-03. Gold D2C subscriber, three consecutive deliveries arriving past promise during a regional carrier dispute. Third-party-attributable. Standard gold cap applied at 120, no uplift. Customer accepted. Upheld on review.

PR-2024-09. Standard wholesale account, espresso blend outside specification across a two-week production window. Company-attributable. Uplifted to 500 under the then-draft §7.3. Account retained. This case motivated the formal adoption of §7.3 in v4.0.

PR-2025-02. Flagship wholesale account, single late delivery caused by a port closure. Third-party-attributable despite the account's insistence otherwise. Standard flagship cap of 500 applied. Reviewed and upheld; external cause does not become internal because the customer is important.

PR-2025-07. Bronze D2C customer, mis-picked order. Company-attributable, uplifted to 50. Customer requested a larger credit citing inconvenience. Declined and upheld; tier and attribution set the band, customer expectation does not.

11. Revision history

Version	Date	Change
1.0	Jan 2021	Initial issue
2.0	Jun 2022	Wholesale tiers introduced
3.0	Nov 2023	Approval matrix formalised; 150 threshold introduced
3.1	Mar 2024	Caps revised upward; cross-currency rule added
4.0	Nov 2025	§7 conditions and exceptions introduced; attribution categories defined; Relationship Recovery Allowance added; caps restated in §5

Appendix A — Quick reference, current caps

Standard, before uplift: bronze 25, silver 50, gold 120, trial 100, standard 250, flagship 500. Human approval above 150 in all cases.

Company-attributable uplift: bronze 50, silver 120, gold 250, trial 250, standard 500, flagship 1,250.

Appendix B — Superseded caps, v3.1

Retained for audit of decisions taken between March 2024 and October 2025 only. These values are no longer in force and must not be applied to any case arising after 1 November 2025.

Tier	v3.1 cap (USD)
Bronze	20
Silver	40
Gold	90
Wholesale trial	75
Wholesale standard	200
Wholesale flagship	350

Under v3.1 there was no attribution-based uplift and no Relationship Recovery Allowance. Cases arising before 1 November 2025 that were decided under those rules are not reopened.